

SIGNIFICANT INCREASE IN SPECULATIVE TRADING

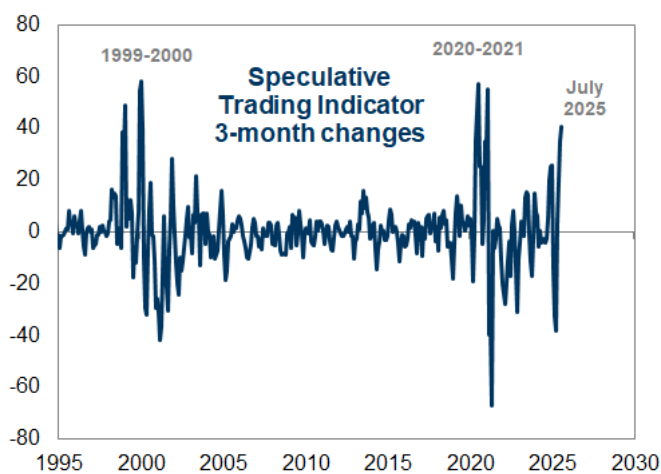
FICC and Equities 25 July 2025 | 12:04PM UTC

Our Speculative Trading Indicator has increased sharply during the last few months. The indicator now sits at its highest level on record outside of 1998-2001 and 2020-2021. The rise in the indicator reflects the elevated recent share of trading volumes in unprofitable stocks, penny stocks, and stocks with elevated EV/sales multiples. The most actively traded stocks include most of the Mag 7 along with companies involved in digital assets and quantum computing.

The increase in the Speculative Trading Indicator mirrors other signs of increased risk appetite within the equity market. Call options have recently accounted for 61% of option volumes, the highest share since 2021. First-day IPO returns have ballooned, and the \$9 billion of SPAC issuance in 2Q 2025 represented the most active quarter since 1Q 2022. A basket of stocks popular with retail traders (GSXURFAV) has rallied by 50% since early April.

The recent rise in speculative trading activity signals near-term upside risk for the broad equity market but also increases the risk of an eventual downturn. During the last 35 years, other sharp increases in speculative trading activity have signaled above-average subsequent 3-, 6-, and 12-month S&P 500 returns, but returns typically faltered on a 24-month horizon. Positioning data indicate the potential for the recent intra-market rotations to continue. Despite the S&P 500 sitting at record highs, average equity investor length remains neutral, short interest for the median S&P 500 stock remains close to the highest level since 2019, and market breadth remains extremely narrow.

Recent rise in speculative trading has been one of sharpest increases on record...

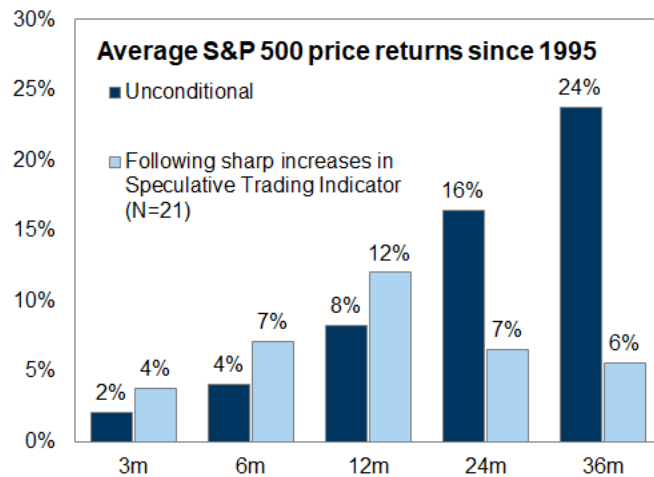


Source: Goldman Sachs Global Investment Research

Sharp increases in speculative trading typically signal above-average short-term equity returns...

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Sharp increases defined as 3-month changes in the Indicator exceeding 15 points, or roughly the top 5% of observations since 1990

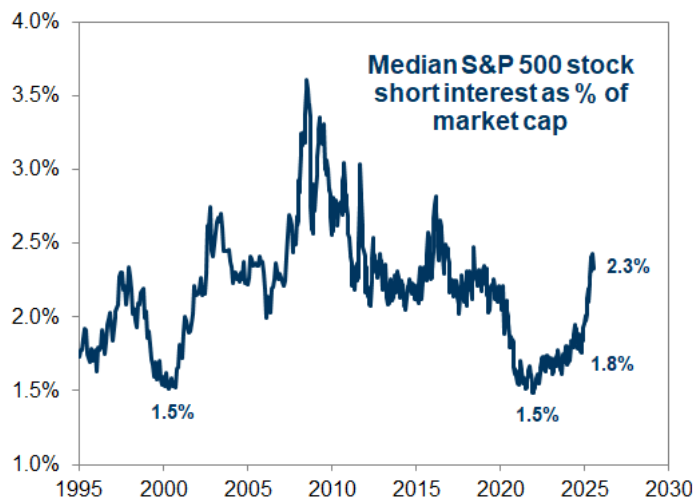


Source: Goldman Sachs Global Investment Research

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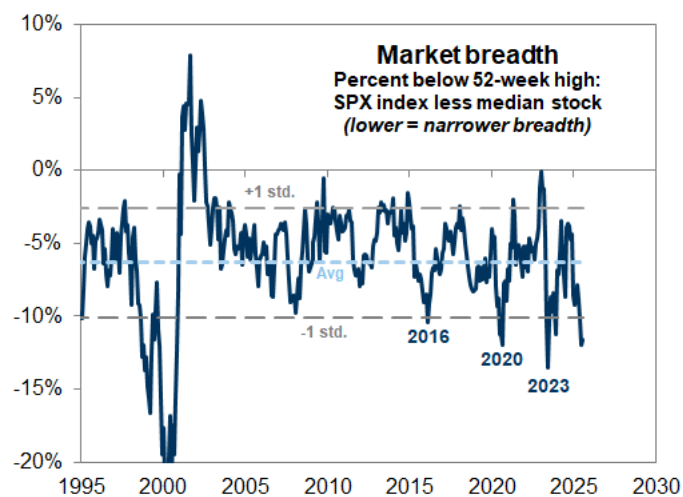
Short interest has risen sharply in recent months...

as of July 15, 2025



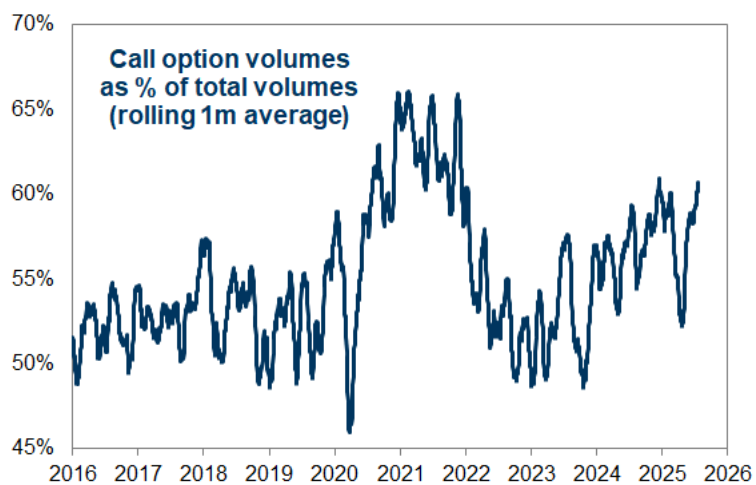
Source: FINRA, Goldman Sachs Global Investment Research

US equity market breadth has become extremely narrow...



Source: Goldman Sachs Global Investment Research

Calls have recently accounted for 61% of US option volumes...

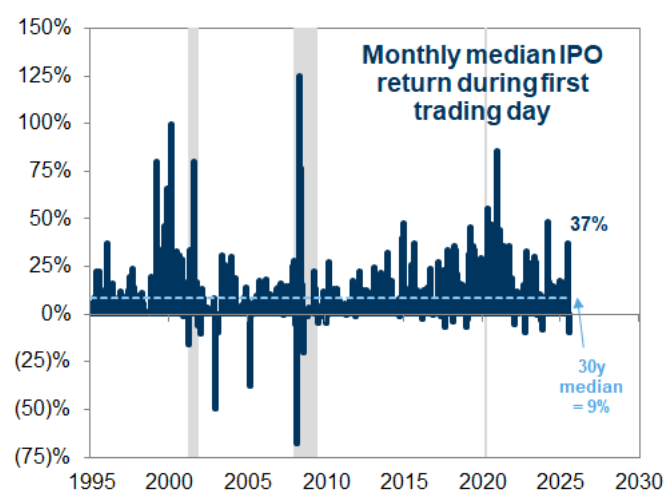


Source: Bloomberg, Goldman Sachs Global Investment Research

Recent IPOs have generated strong first-day returns...

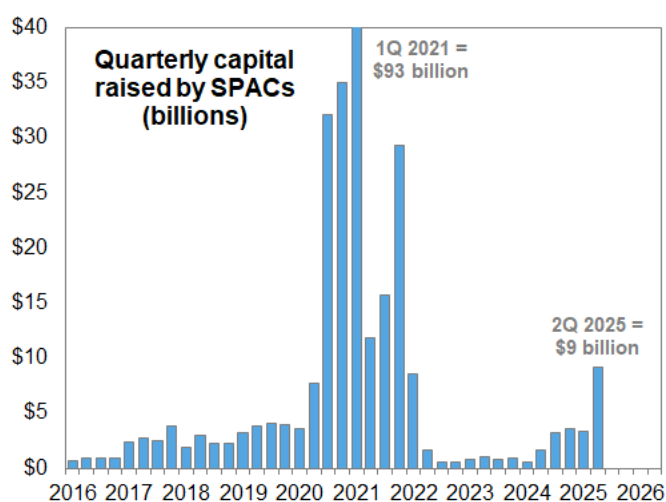
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IPOs on US exchanges with gross proceeds greater than \$25 million



Source: FactSet, Goldman Sachs Global Investment Research

SPACs raised \$12 billion in 1H 2025...



Source: Dealogic, Goldman Sachs Global Investment Research

Russell 3000 stocks with the highest share trading volumes during the past month...

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Company	Ticker	Subindustry	Market cap (billions)	1m share trading volume (mn)	Short interest as % of float	Recent returns		EV/sales multiple	
						1m	12m	LTM	Consensus 12m fwd
BigBear.ai Holdings, Inc.	BBAI	IT Consulting & Other Services	\$2	4,304	28 %	90 %	415 %	13x	11x
Lucid Group, Inc.	LCID	Automobile Manufacturers	9	4,249	33	43	(11)	11	5
NVIDIA Corporation	NVDA	Semiconductors	4,167	3,922	1	18	39	28	18
Tesla, Inc.	TSLA	Automobile Manufacturers	1,071	2,154	3	(5)	35	12	11
Plug Power Inc.	PLUG	Electrical Components & Equipment	2	1,976	34	66	(27)	4	3
Nu Holdings Ltd.	NU	Diversified Banks	62	1,887	3	5	1	8	6
Ford Motor Company	F	Automobile Manufacturers	45	1,868	5	6	(11)	1	1
QuantumScape Corporation	QS	Automotive Parts & Equipment	7	1,689	17	203	59	NM	NM
Intel Corporation	INTC	Semiconductors	102	1,633	3	11	(28)	3	3
SoFi Technologies Inc.	SOFI	Consumer Finance	24	1,609	14	40	190	7	7
Warner Bros. Discovery, Inc.	WBD	Movies & Entertainment	33	1,555	6	25	54	2	2
Palantir Technologies Inc.	PLTR	Application Software	365	1,517	2	11	437	125	86
Bit Digital, Inc.	BTBT	Application Software	1	1,436	0	45	(17)	5	3
American Airlines Group Inc.	AAL	Passenger Airlines	8	1,356	0	16	21	1	1
TeraWulf Inc.	WULF	Application Software	2	1,246	31	46	(6)	17	8
Robinhood Markets, Inc.	HOOD	Investment Banking & Brokerage	90	1,219	4	34	346	31	24
Advanced Micro Devices, Inc.	AMD	Semiconductors	257	1,153	0	22	3	9	7
Apple Inc.	AAPL	Tech Hardware Storage & Peripherals	3,199	1,143	1	6	(4)	8	8
MARA Holdings, Inc.	MARA	Application Software	6	1,102	25	24	(19)	12	8
Cipher Mining Inc.	CIFR	Application Software	2	1,058	0	89	9	16	6
SoundHound AI, Inc.	SOUN	Application Software	5	1,052	35	29	147	47	26
D-Wave Quantum Inc.	QBTS	Application Software	6	1,036	21	36	1780	260	174
Rigetti Computing, Inc.	RGTI	Semiconductors	5	1,026	20	50	1341	507	280
Riot Platforms, Inc.	RIOT	Application Software	5	1,009	26	55	24	11	7
Bank of America Corp	BAC	Diversified Banks	363	986	1	4	16	6	10
Archer Aviation Inc	ACHR	Aerospace & Defense	7	977	17	14	149	NM	66
Hims & Hers Health, Inc.	HIMS	Health Care Services	13	956	35	38	155	8	5
Amazon.com, Inc.	AMZN	Broadline Retail	2,424	923	1	10	22	4	3
Alphabet Inc.	GOOGL	Interactive Media & Services	2,307	919	1	15	5	6	5
Super Micro Computer, Inc.	SMCI	Tech Hardware Storage & Peripherals	31	909	19	26	(34)	1	1
Top 30 median			\$18	1,233	5 %	26 %	22 %	9x	7x

Source: FactSet, Goldman Sachs Global Investment Research